

1. A key characteristic of a competitive market is that

- A. government antitrust laws regulate competition
 - B. firms have price-setting power
 - C. producers sell nearly identical products
 - D. firms minimize total costs
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2. The fundamental source of monopoly power is

- A. profit
 - B. barriers to entry
 - C. decreasing average total cost
 - D. a product without close substitutes
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3. A monopoly

- A. can set the price it charges for its output but faces a downward-sloping demand curve so it cannot earn unlimited profits
 - B. can set the price it charges for its output and earn unlimited profits
 - C. takes the market price as given and earns small but positive profits
 - D. can set the price it charges for its output but faces a horizontal demand curve so it can earn unlimited profits
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4. One difference between a perfectly competitive firm and a monopoly is that a perfectly competitive firm produces where

- A. price exceeds marginal cost, while a monopolist produces where marginal cost equals price
- B. marginal cost exceeds price, while a monopolist produces where marginal cost equals price

- C. marginal cost equals price, while a monopolist produces where marginal cost exceeds price
 - D. marginal cost equals price, while a monopolist produces where price exceeds marginal cost
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5. The supply curve for the monopolist

- A. is horizontal
 - B. is upward sloping
 - C. does not exist
 - D. is vertical
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6. Monopolies use their market power to

- A. charge prices that equal minimum average total cost
 - B. increase the quantity sold as they increase price
 - C. charge a price that is higher than marginal cost
 - D. dump excess supplies of their product on the market
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7. If a firm in a competitive market doubles its number of units sold, total revenue for the firm will

- A. increase but by less than double
 - B. more than double
 - C. double
 - D. may increase or decrease depending on the price elasticity of demand
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8. At the profit-maximizing level of output,

- A. average revenue equals average total cost
- B. marginal revenue equals average total cost

- C. marginal revenue equals average variable cost
 - D. marginal revenue equals marginal cost
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9. When a profit-maximizing firm is earning profits, those profits can be identified by

- A. $P \times Q$
 - B. $(P - ATC) \times Q$
 - C. $(MC - AVC) \times Q$
 - D. $(P - AVC) \times Q$
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10. A bookstore that has market power can

- A. influence the market price for the books it sells
 - B. minimize costs more efficiently than its competitors
 - C. ignore profit-maximizing strategies when setting the price for its books
 - D. reduce its advertising budget more than its competitors
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11. The short-run supply curve for a firm in a perfectly competitive market is

- A. horizontal
 - B. likely to slope downward
 - C. determined by forces external to the firm
 - D. the portion of its marginal cost curve that lies above its average variable cost
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12. In order to sell more of its product, a monopolist must

- A. sell to the government
 - B. sell in international markets
 - C. lower its price
 - D. use its market power to force up the price of complementary products
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13. Profit-maximizing firms enter a competitive market when existing firms in that market have

- A. average total costs less than market price
 - B. total revenues that exceed fixed costs
 - C. average total costs that exceed average revenue
 - D. total revenues that exceed total variable costs
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14. Which of the following industries is most likely to exhibit the characteristic of free entry?

- A. mineral mining
 - B. cable television
 - C. satellite radio
 - D. t-shirt silk screening
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15. Microsoft faces very little competition from other firms for its Windows software. Why isn't the price of the software \$1,000 per copy?

- A. because the government would not allow such a high price
- B. because stockholders would not allow such a high price
- C. because the company would sell so few copies that it would earn higher profits by selling at a lower price
- D. All of the above are correct